Unilever in the Global Economy

2020–2025 · How does Unilever grow in the US, its biggest market?

Speaker 1
Globalisation

Speaker 2
Regional Integration

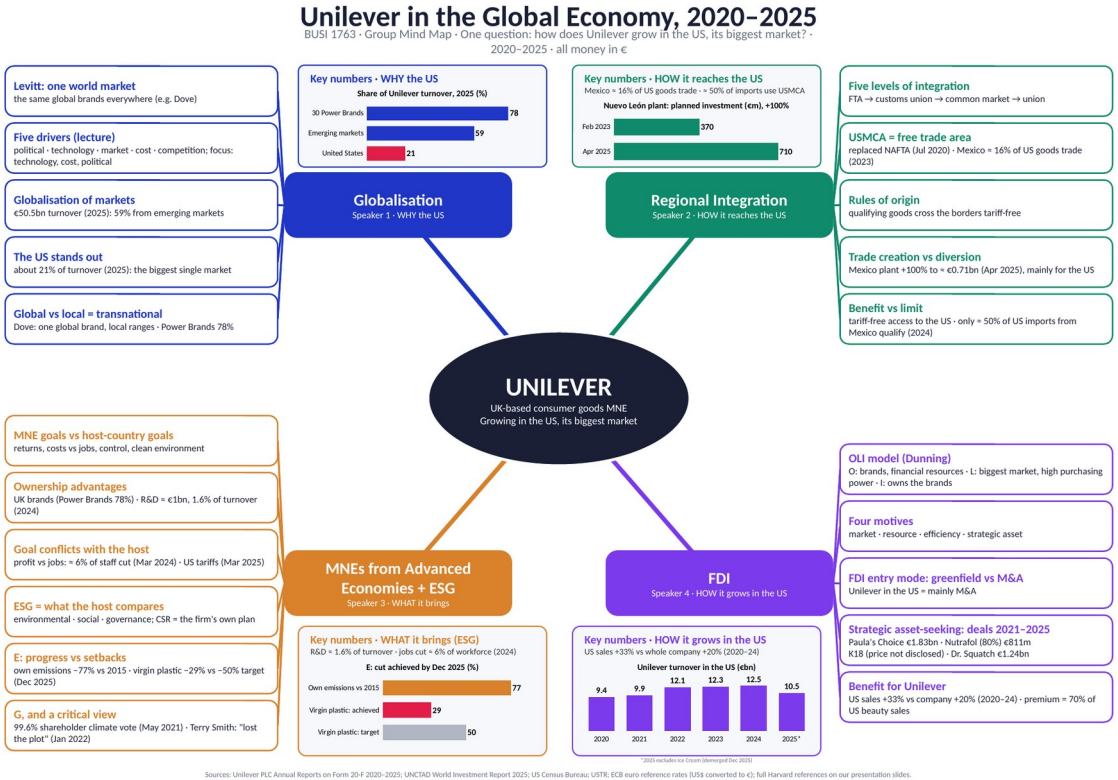
Speaker 3
MNEs from Advanced Economies + ESG

Speaker 4
FDI

BUSI 1763 Dynamics of Global Business · Group presentation

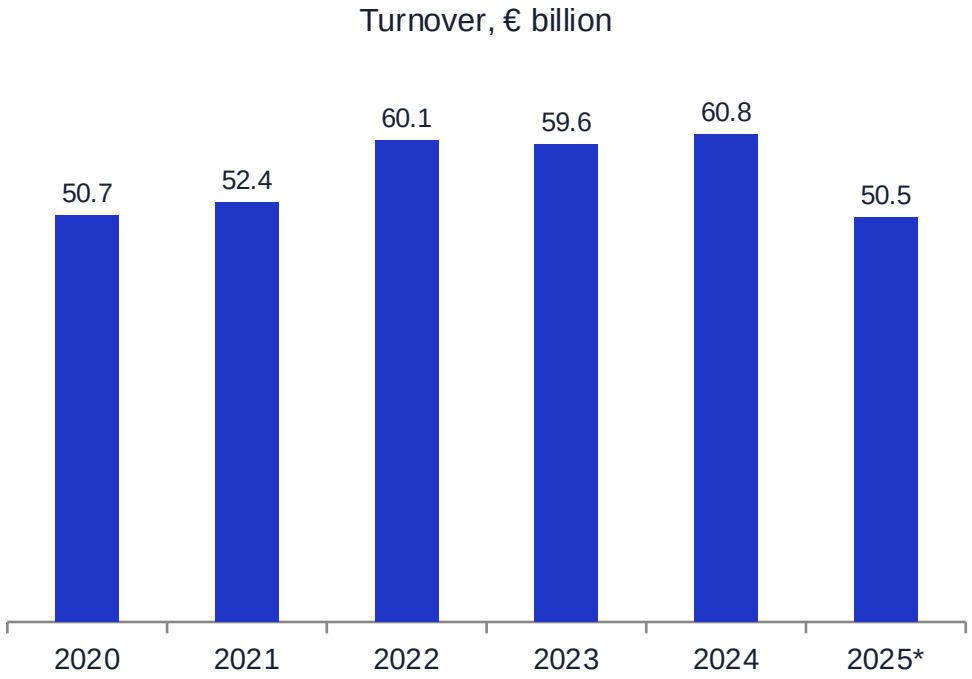
Our mind map

Four theories, one question: how does Unilever grow in the US, its biggest market? (2020–2025)



Unilever at a glance, 2020–2025

UK-based consumer goods MNE · its biggest market: the United States



**2025 excludes Ice Cream (demerged December 2025); 2024 on the same basis: €52.5bn.*

59% of turnover from emerging markets (Jan–Dec 2025)

~190 countries where its brands are sold (Dec 2024)

21% of turnover from the US, its biggest market (Jan–Dec 2025)

118k average employees in 2025 (150k in 2020)

Sources: Unilever PLC (2021a; 2026a; 2026b).

Globalisation: one world market?

Levitt (1983), drivers and the global–local balance (Lecture 1)

Globalisation: economies, businesses and societies become more connected through trade, investment, technology and culture. Levitt (1983): firms can sell standardised products to one world market.

Five drivers (★ = our focus)

- ★ Political: trade agreements, lower barriers
- ★ Technology: digital, AI, e-commerce
- Market: global customers
- ★ Cost: cheaper shipping and logistics
- Competition: global rivals

Benefits vs costs

- Benefits: bigger markets, economic growth
- Costs: inequality, environmental impact, supplier dependence

Global vs local

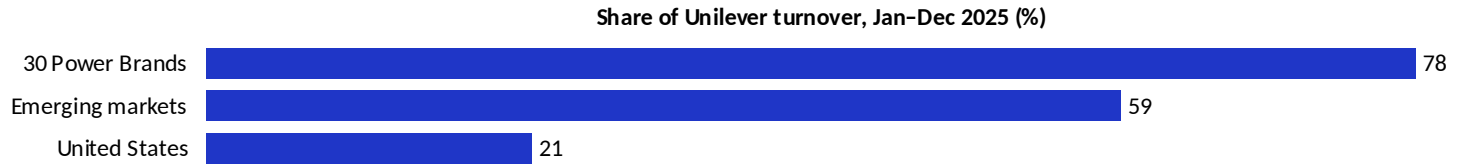
- Standardise: one global brand (Levitt)
- Localise: local tastes and buying power
- Transnational: global efficiency + local responsiveness

Sources: Levitt (1983); University of Greenwich (2026a).

Unilever: global scale, local markets

One parent company, strong global brands, one market that stands out: the US

Date	What happened	Impact on Unilever
Nov 2020	Anglo-Dutch dual structure ends: one parent company, Unilever PLC	More flexibility to invest across borders and reshape its portfolio
Jan–Dec 2025	Turnover €50.5bn; 59% from emerging markets	Growth depends on a few big markets
Jan–Dec 2025	30 Power Brands (e.g. Dove) = 78% of turnover	Focus on its strongest global brands
Jan–Dec 2025	US turnover €10.5bn = about 21% of the total, more than any other country	The US is Unilever's biggest market: our focus
2020–2025	Dove: one global brand; ranges and marketing adapted locally	Transnational: global efficiency + local responsiveness



Unilever is a global company, but its growth depends on a few big markets, and the biggest is the US (about 21% of turnover). Risks: exchange rates, geopolitics and new trade barriers.

Sources: Unilever PLC (2021a; 2026a; 2026b).

Regional integration: Mexico and USMCA

Lecture 2 · How Unilever reaches the US: Mexico and USMCA

Countries in a region remove barriers between them, step by step. USMCA is level 1: a free trade area.

Five levels

- Free trade area ← USMCA
- Customs union
- Common market
- Economic union
- Political union

Effects

- Trade creation: more trade between members
- Trade diversion: buying from a member country instead of a cheaper non-member country

USMCA in brief

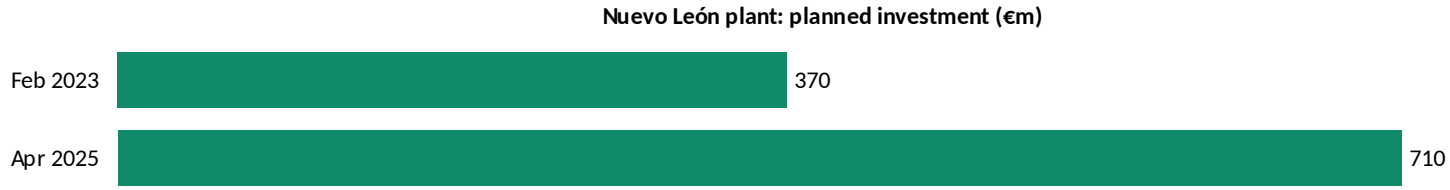
- US, Mexico and Canada; replaced NAFTA in Jul 2020
- Zero tariffs if rules of origin are met
- Mexico = US's No. 1 goods trading partner: about 16% of US goods trade (Jan–Dec 2023)

Sources: University of Greenwich (2026b); USTR (n.d.); US Census Bureau (2024).

Mexico: Unilever's gateway to the US

May 2025: Unilever calls Mexico one of its 10 largest markets (7,000+ employees)

Date	What happened	Benefit for Unilever
Jul 2020	USMCA enters into force (replaces NAFTA)	Qualifying goods made in Mexico enter the US and Canada with no tariffs
Feb 2023	New beauty & personal care plant in Nuevo León (near the US border) announced: about €370m	Low-cost production next to the US market
Mar 2025	US 25% tariff on Mexico (4 Mar); USMCA-qualifying goods exempted (6 Mar)	Meeting USMCA rules of origin protects Unilever from tariffs
Apr 2025	Plant investment doubled (+100%) to about €710m; mainly for exports to the US and Canada	Supplies the US, Unilever's biggest market (about 21% of turnover, Jan–Dec 2025)



USMCA helps Mexico supply goods to the US at lower costs and without tariffs if they meet the rules. However, only about half of US imports from Mexico qualified in 2024.

Sources: USTR (n.d.); MND Staff (2025); Fortune (2025); Bloomberg Línea (2025); Unilever PLC (2026a). US$ converted at ECB annual average rates (2023: $1.0813 = €1; 2025: $1.13 = €1).

MNEs from advanced economies + ESG

Lecture 4: MNE goals vs host-country goals (host: the US)

An advanced-economy MNE goes abroad to use advantages it already has. Its goals and the host country's goals can clash.

MNE goals

- High returns
- More sales
- Lower costs
- Share risk
- Better technology

Host-country goals

- Jobs and growth
- Technology
- Control of the economy
- A fair share of profits
- Clean environment

When they clash

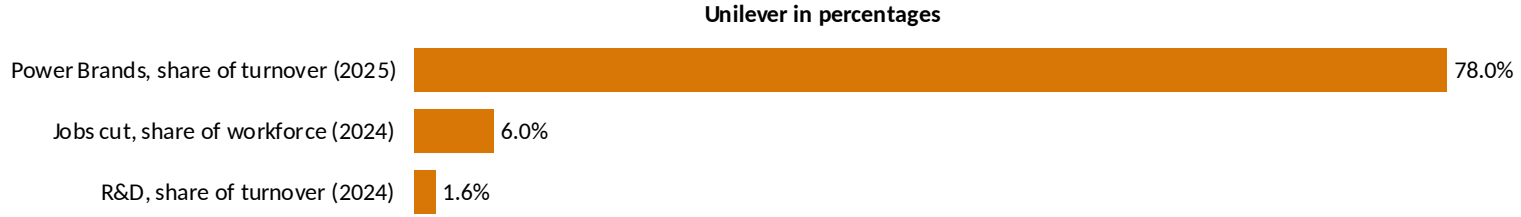
- Creeping expropriation: new taxes and rules
- Profits leaving the country
- ESG = what host countries and investors compare

Sources: University of Greenwich (2026c).

Unilever: British advantages in its biggest host country

Brands and R&D from home; conflicts with the US as host

Date	What happened	Impact on Unilever
Jan–Dec 2024	R&D spending: €987m (about 1.6% of turnover)	Technology and brands: ownership advantages from an advanced economy
Mar 2024	Productivity programme: about 7,500 office jobs to go (about 6% of the workforce)	4,300 jobs gone by Dec 2024: profit vs host-country employment
Mar 2025	US 25% tariffs on imports from Mexico and Canada; USMCA goods exempted	The host changes its rules: creeping expropriation risk
Jan–Dec 2025	30 Power Brands make 78% of turnover	Global brands are the core of its advantage



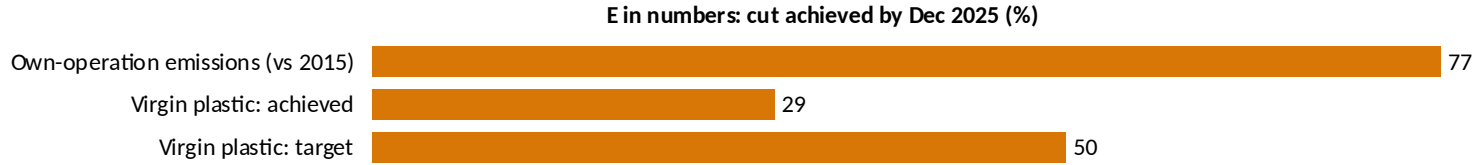
Unilever's advantages come from its UK home, but in the US it must balance profit with host-country jobs and politics.

Sources: Unilever PLC (2024; 2025a; 2025b; 2026a; 2026b); USTR (n.d.).

ESG: environmental, social, governance

ESG is what host countries and investors compare; CSR is Unilever's own plan (the Compass, from Mar 2021)

Pillar	What happened	What it means for Unilever
E · Dec 2025	Own-operation emissions −77% vs 2015	Progress on climate
E · Apr 2024	Plastic target lowered: virgin plastic −29% by Dec 2025 (target −50%)	Setback: just over half of the target
S · Mar 2024	About 7,500 office jobs to go (about 6% of the workforce)	Profit vs host-country employment
G · May 2021	99.59% of shareholders approve its Climate Transition Action Plan	Strong investor support
G · Nov 2020	One parent company, Unilever PLC	Simpler governance structure
Jan 2022	Terry Smith: Unilever has "lost the plot" over purpose	Critical view: purpose vs profit; greenwashing risk



ESG shows progress on climate but a setback on plastics; missed targets bring greenwashing claims. In the US, Unilever must prove strong ESG performance.

Sources: Unilever PLC (2021a; 2021b; 2025a; 2026a); FoodNavigator (2022); Grocery Gazette (2024).

FDI: why and how firms invest abroad

Lecture 3 · Focus country: United States

FDI: a company owns and controls a business in another country, by building it (greenfield) or buying it (M&A).

OLI model (Dunning)

- O – Ownership: brands, technology, financial resources
- L – Location: big market, low costs
- I – Internalisation: own it, do not license it

Four motives

- Market-seeking
- Resource-seeking
- Efficiency-seeking
- Strategic asset-seeking

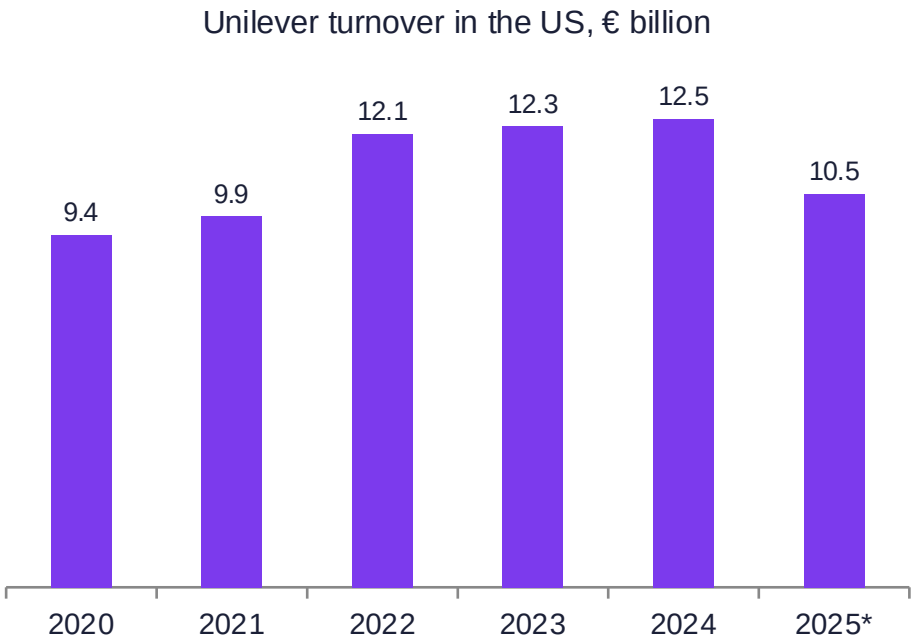
Two modes

- Greenfield: build new; slower, full control
- M&A: buy; faster, but expensive and hard to integrate

Sources: Dunning (1988); University of Greenwich (2026d).

Why the United States? Unilever and OLI

The US: almost one fifth of world FDI (Jan–Dec 2024) · Unilever US sales +33% vs the whole company +20% (2020–2024)



**2025 excludes Ice Cream (demerged Dec 2025); 2024 on the same basis: €10.4bn. Each bar = Jan–Dec.*

O · Ownership
Global brands, financial resources and worldwide distribution

L · Location
Biggest market (about 21% of turnover); high purchasing power; many premium and online shoppers

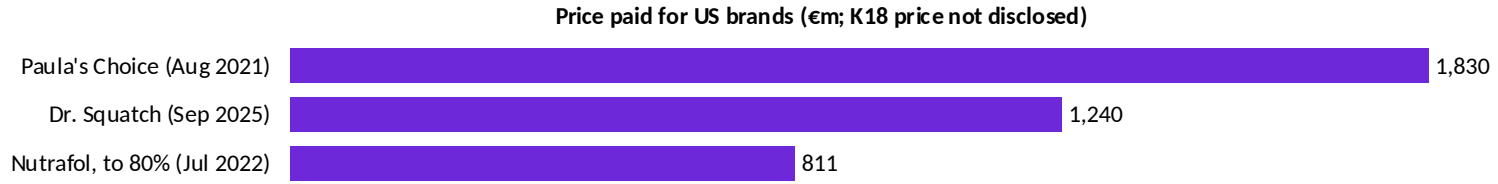
I · Internalisation
Buys and owns the brands, so it controls them and their customers

Sources: Unilever PLC (2021a; 2022; 2023a; 2024; 2025a; 2026a); UNCTAD (2025).

Unilever in the US: what each deal brought

Mainly M&A = strategic asset-seeking: brands, customers, online skills

Date	What happened	Benefit for Unilever
Aug 2021	Paula's Choice (skincare, sells online), 100%, €1.83bn	Online sales skills; premium (Prestige) beauty grew by more than 10% in Jan–Dec 2022
Jul 2022	Nutrafol (hair wellness): stake raised to 80% for €811m	Helped Wellbeing grow by more than 10% in Jan–Dec 2025
Feb 2024	K18 (premium hair care), 91.88%; price not disclosed	Grew by more than 10% in Jan–Dec 2024
Sep 2025	Dr. Squatch (men's personal care), 98.7%, €1.24bn	Moves Unilever into "premium and high-growth spaces"
Dec 2024	70% of US Beauty & Wellbeing sales now from Prestige and Wellbeing brands	Faster growth from premium brands
Dec 2025	North America underlying sales growth 5.3% (Jan–Dec 2025)	Good results in its biggest market



Buying US premium brands gave Unilever growth, online skills and a stronger base in its biggest market. Risk: US premium beauty slowed in 2024.

Sources: Unilever PLC (2022; 2023b; 2024; 2025a; 2026a; 2026b).

Conclusion: how Unilever grows in the US

Four theories, one question, 2020–2025

Globalisation · WHY the US	The US is Unilever's biggest market: about 21% of turnover; US sales +33% vs the whole company +20% (2020–2024).
Regional Integration · HOW it reaches the US	Mexico + USMCA: a plant next to the US (investment +100%) with tariff-free access for goods that meet the rules.
MNEs + ESG · WHAT it brings	UK brands and R&D are its advantages; in the US it must manage jobs, politics and ESG (emissions −77%, plastic −29% vs −50%).
FDI · HOW it grows	Mainly M&A of US premium brands: North America grew 5.3% vs the whole company 3.5% (2025).

From 2020 to 2025, the US became the centre of Unilever's growth: global brands, a regional supply base, home advantages and FDI work together.

Thank you

Questions are welcome

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We have used AI while undertaking our assignment in the following ways:

To develop research questions on the topic: NO

To create an outline of the topic: YES

To explain concepts: YES

To support our use of language: YES

To summarise the following articles/resources: Unilever annual reports and results 2020–2025; UNCTAD (2025); news sources listed in our references: YES

In other ways, as described below: YES

- AI was used to help design the slides and the mind map, and to draft and simplify parts of the speaker scripts, based on our own choices of company, theories and examples
- AI was used to check facts, dates and figures against Unilever's annual reports and other sources
- AI was used to check academic English and grammar
- The final slides, scripts and references were reviewed by the group before submission

Module Code and Module Title: BUSI 1763 Dynamics of Global Business and Practices

Assignment Title: Mind-Map Poster and Group Presentation

Group members (LSBF Student ID / UOG Banner ID):

Speaker 1: _____ / _____

Speaker 2: _____ / _____

Speaker 3: _____ / _____

Speaker 4: